**MEMORANDUM**

**To:** Head of Growth and Head of Seller Operations

**From:** Amartey Rukayya Yusuf

**Subject:** TradeZone Performance Review (2023 to 2024)

**Date:** April 23, 2026

## 1. Purpose Statement

This memo summarizes findings from a full data review of TradeZone's operations across 2023 and 2024. The analysis covers customer acquisition, product performance, seller efficiency, payment behaviour, and revenue trends. All findings below are drawn directly from SQL queries run against the cleaned TradeZone database.

## 2. Executive Summary

TradeZone's revenue grew dramatically in 2024, with the first quarter alone recording a 1,395% increase compared to the same period in 2023. However, this growth is fragile. Conversion rates among new customers remain weak across all states, and just 603 high-spending customers are carrying the vast majority of revenue. The platform depends heavily on this small group.

## 2. Key Findings

### 1. New customers are signing up but not buying (Query 1)

Lagos recorded the highest number of new customer sign-ups in 2024 with 146, followed by FCT at 92 and Rivers at 66. But when you look at how many of those customers actually made a purchase within their first 30 days, the numbers drop sharply. Lagos converted at 49%, FCT at 41%, Oyo at 33%, and Kano at just 31%. That means roughly half or more of every new customer TradeZone acquires is walking away without spending a naira. The acquisition engine is working. The conversion engine is not.

### 2. Electronics is carrying the entire product catalogue (Query 2)

Every single product in the top 6 by revenue in 2024 falls under Electronics, led by the HP Pavilion Laptop at ₦26.7 million. Categories like Food and Beverages, Home and Garden, and Books are barely registering despite likely receiving promotion spend. This level of category dependence is a structural risk. If electronics demand softens due to price sensitivity, supply issues, or competition, there is no other category strong enough to compensate.

**3. Revenue is highly concentrated (Query 5)**

Customer segmentation for 2024 shows a high concentration of revenue. The 603 high-spending customers, those who spent ₦100,000 or more, generated ₦868 million in total revenue. The 25 medium spenders contributed ₦1.7 million, and 49 low spenders contributed ₦1.1 million; combined contributed less than ₦3 million. This is not a healthy split. TradeZone currently has no buffer if its top customer segment reduces activity, switches platforms, or faces economic pressure.

## 3. Recommendations

**1.** Improve Early Conversion with a 30-Day Onboarding Strategy

*Responsible by the Head of Growth*

The Growth team should introduce a structured onboarding journey for new users, including incentives such as first-purchase discounts within the first week of sign-up. Priority should be given to low-performing states like Kano (31%) and Oyo (33%). The expected outcome is an improvement of at least 10 to 15 per cent in 30-day conversion rates within 60 to 90 days.

**Recommendation 2 — Protect the high-value customer base immediately**

*Responsible by the Head of Seller Operations with the Head of Growth*

With 603 customers generating ₦868 million, and virtually no revenue buffer to retain this group. A structured VIP or loyalty programme should be introduced, offering benefits such as priority delivery, early product access, and dedicated support. This does not need to be expensive to be effective. Within 60 to 90 days, the goal is measurable improvement in repeat purchase frequency among this segment and a reduction in churn risk.

## 4. Data Quality Notes

**1. Order amount mismatches**

During cleaning, 124 orders were found where the total recorded in the orders table did not match the sum of line items in the order_items table. Some discrepancies exceeded ₦300,000 per order. The decision was made to use order_items line totals for all revenue calculations as they are more consistent. If this decision is wrong and the orders table figures are actually correct, revenue totals across the analysis could be slightly misrepresented for those 124 records.

**2. Duplicate customer records**

15 email addresses appeared more than once in the customers table, suggesting some customers registered twice. These records could not be deleted because the associated customer IDs are referenced in the orders table. They were flagged instead. If these duplicates represent the same individuals being counted twice, customer acquisition figures, particularly in high-volume states like Lagos, may be slightly overstated.

## 5. What the Data Cannot Tell Us

The dataset shows that 30-day conversion rates are low, but it cannot explain why. It does not tell us whether new customers are abandoning carts, finding prices too high, having poor delivery experiences, or simply browsing without any intent to purchase. This is a critical gap because the right intervention depends entirely on the root cause. To answer this, TradeZone would need to collect behavioral data, specifically session tracking logs, cart abandonment records, and structured feedback from customers who signed up but did not place an order within their first month.